

To: Secretary of Finance, Republic of the Philippines
From: Taichiro Imai, Policy Analyst
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Subject: Sea-lane exposure and the Philippine economy

Summary

The Philippines is paying the full price of the 2026 Gulf crisis. Transport inflation hit 13.5 per cent in August. That is much higher than the rates in neighbouring countries like Indonesia, Vietnam and Thailand. There are two reasons. First, almost everything we consume comes by sea, through a few sea lanes with no alternatives. Second, unlike our neighbours, we have no buffer that absorbs a fuel or freight shock before it reaches the consumer. These same sea lanes run through the South China Sea. If a regional incident raises insurance costs, the next shock will hit before we can recover from this one. I recommend two actions: build a physical buffer now, and set up a regional insurance pool for the sea-lane risk.

Background

Headline inflation was 6.1 per cent in August, well above the 2–4 per cent target. Transport inflation rose again to 13.5 per cent, and diesel prices were up 55.7 per cent from a year earlier. The Drewry Intra-Asia Container Index, which covers the Shanghai–Manila route, reached a record US\$1,402 per forty-foot container in the week of 17 September, 117 per cent higher than a year ago.

Our neighbours faced the same crisis but felt less pain. In August, transport inflation was 4.8 per cent in Indonesia and about 5.4 per cent in Vietnam (January to August). Thailand's headline inflation was 2.5 per cent. Thailand utilised its Oil Fuel Fund to keep diesel near 30 baht a litre, at a cost of about US\$32 million a day in March. The Philippines, however, closed its own price stabilisation fund in 1998. By March, our fuel stocks fell to about 51 days, forcing the government to scramble for suppliers outside the Middle East.

Adding to this economic vulnerability, geopolitical risks are rising at our doorstep. In July, Chinese and Philippine vessels clashed three times in one week at Scarborough Shoal and Second Thomas Shoal. And this year the Philippines chairs ASEAN.

Analysis

Two facts determine the price we pay. First, there is no alternative route. Almost all crude oil and fuel comes by sea. Our only refinery, in Bataan, covers about a third of demand, and it runs on imported crude. Since 2023 the Philippines has been the world's largest rice importer. In 2026 we will import 5.5–5.7 million tonnes, about one third of what we eat. There is no pipeline or land route. So a global fuel or freight shock reaches us at full strength.

Second, there is no buffer. Since deregulation, the world price goes straight to the pump. Our neighbours' inflation is lower because they have subsidies, some domestic production, or other alternative routes. We have none of these.

These sea lanes run through the South China Sea. Today the South China Sea is not on the high-risk list kept by Lloyd's Joint War Committee (JWC). Ships going to listed areas are required to pay an extra war-risk premium. The March 2026 update (JWLA-033) added Bahrain, Kuwait, Oman, Qatar and Djibouti, but not our waters. July's clashes did not change this. China calls the South China Sea "the safest waterway in the world," and on insurance, they are right so far. But the Gulf crisis shows exactly what happens after a listing. In the Strait of Hormuz, the war-risk premium rose from 0.25 per cent of a ship's value to 1 per cent in March, and skyrocketed to 7.5–10 per cent by late July. If our sea lanes were listed, we would face the same problem, but with no alternative

routes and no buffer. This extra cost would go straight into domestic transport and household prices, on top of what we already pay. Investors in our waters would also delay decisions until the premium settled. So the problem is immediate because a country that is already paying the full price has nothing in place to absorb the next shock.

Options

1. The buffer and the alternatives.

Raise fuel stocks from about 51 days in March toward the 90-day level mandated for IEA member countries. Expand rice stocks. Develop alternative ports, using existing financing such as JICA loans. This is the only option that reduces the price shock itself. But port development takes years, and larger stocks only buy a few weeks, not enough for a prolonged price hike.

2. War-risk insurance pool.

ASEAN coastal states pay a small amount each year into a pre-funded pool, with Japan and Korea as reinsurers. ASEAN already does this for natural disasters through SEADRIF, a Singapore-based insurance facility backed by Japan, Singapore and the World Bank. If the South China Sea is listed and ships to member ports are charged extra premiums, the pool pays the difference for a fixed period. Freight and fuel prices do not jump on day one. The pool does not lower today's premium (which is already zero), and it does not change China's behaviour. However, it turns a sudden price-jump risk into a predictable yearly cost shared by the region. It is fast once agreed and cheap for each member. But agreement takes time, and the pool must exist before an incident occurs. Also, because all members share the same sea, reinsurance from outside the region is essential.

Recommendation

Start Option 1 immediately, because it is the only way to lower the price we pay. Put Option 2 on the ASEAN table this year while the Philippines is chair, presenting it as a shared regional hedge rather than a unilateral Philippine request. This is the only way to stop the next price jump from hitting us before our physical buffer is ready.

To make this insurance pool credible and realistic, two strict design rules are needed. First, scale it to a clear target. It should be enough to cover one quarter of a Hormuz-level premium on voyages to member ports. Second, keep the operation outside politics. Payouts start only when the JWC lists the area, never by a minister's decision, and the pool runs independently of member governments, as SEADRIF does.

First steps for the Department of Finance are to set a stockpile target and a financing line with JICA this quarter, to check war-risk insurance quotes for Philippine routes every month, so that we see a jump early, and to bring the pool concept to the ASEAN finance ministers before the chairmanship passes to Singapore.